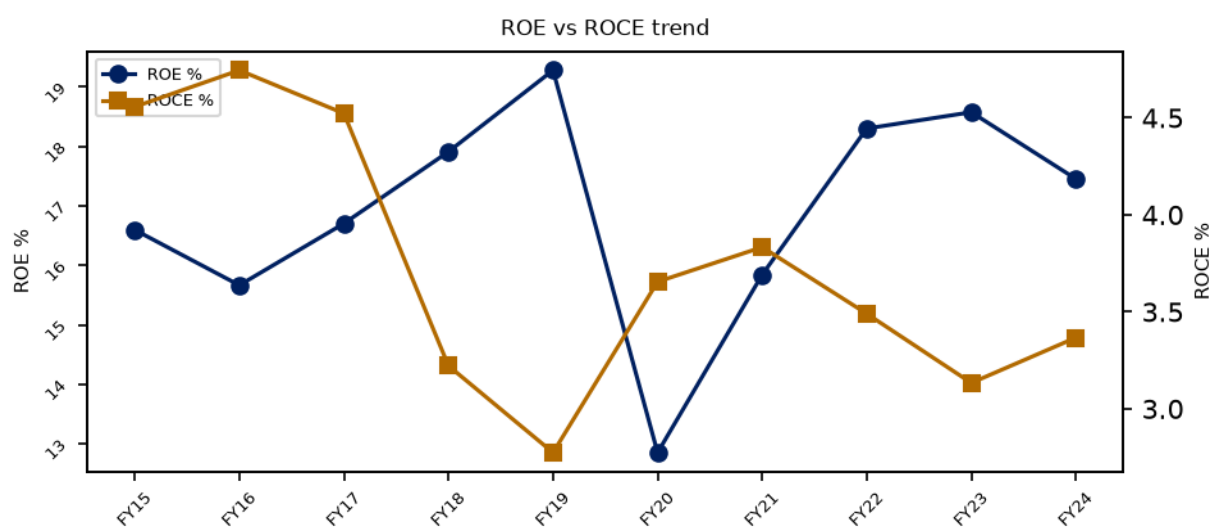
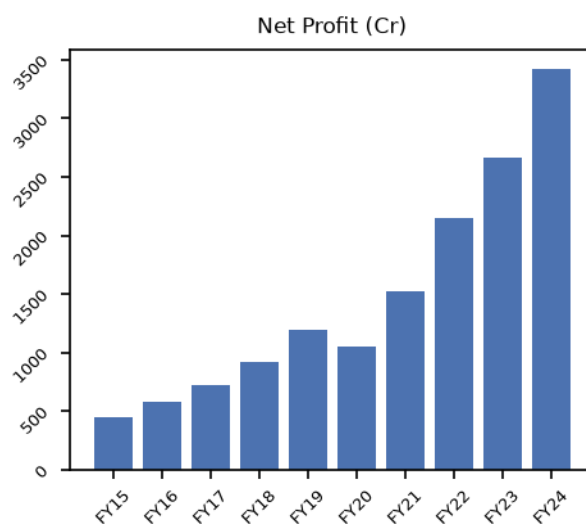
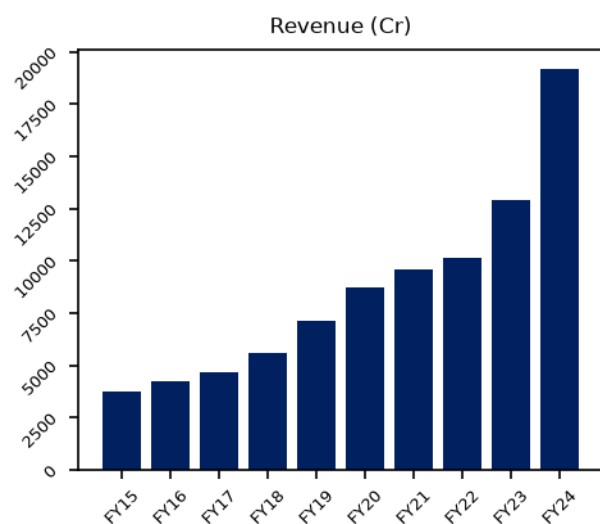
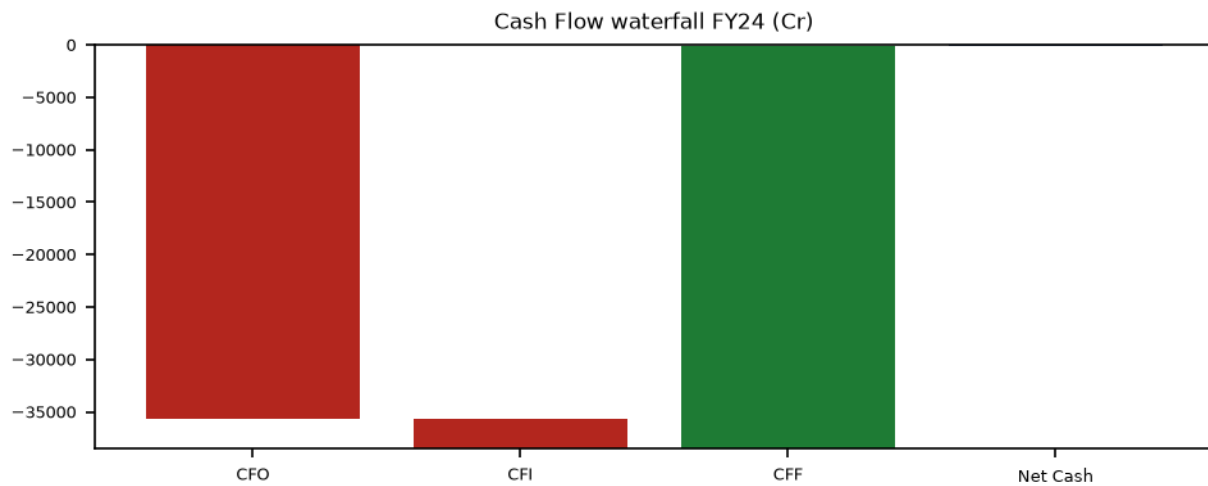
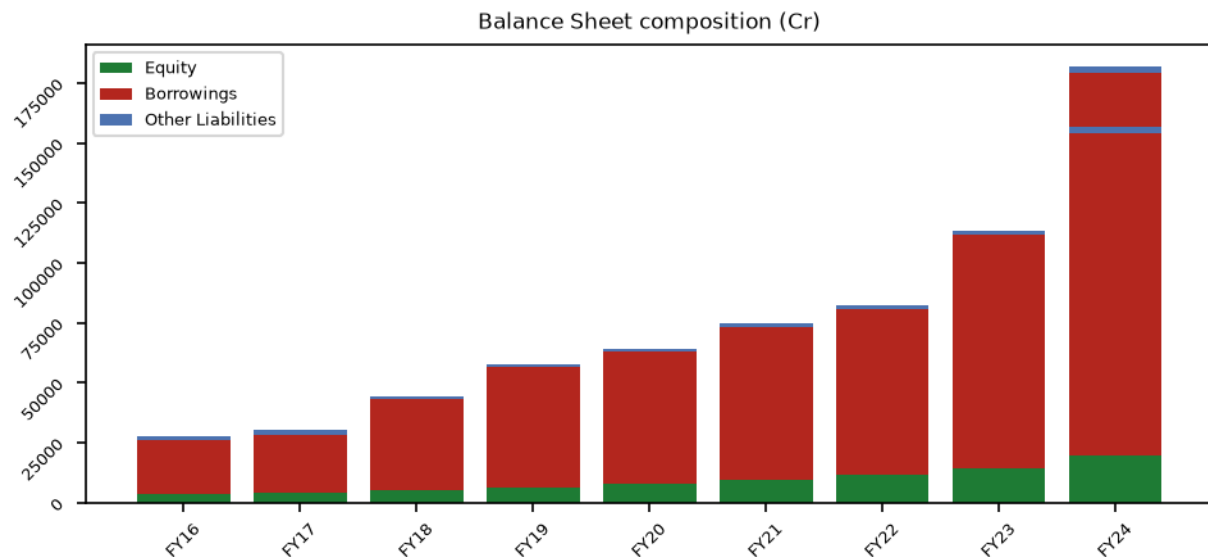


Cholamandalam Investment & Finance Company Ltd (CHOLAFIN) — Financials / Consumer Finance

17.5 ROE %	3.4 ROCE %	17.8 Net Margin %
6.9x D/E	21.9 Rev CAGR 5Y %	16.8 P/E



CHOLAFIN — Balance Sheet & Cash Flow



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Operating margins declining for 3 consecutive years suggests pricing or cost pressure

Capital Allocation: Distress - Financing the Burn